

In June 2007, Princeton University valedictorian and economics major Glen Weyl (now Dr. Weyl, having earned his PhD in economics only a year later) described his passion for intellectual inquiry in this way: “There are questions so important that it is, or should be, hard to think about anything else.” *There are questions so important that it is, or should be, hard to think about anything else.* The efficient functioning of our nation’s flawed system of financial intermediation is just such a question.

It’s high time not only to think about this question, but to study it in depth, to calculate its costs, and to relate those costs to the values that investors not only expect to earn, but are entitled to earn. Our financial system carries quite enough cost—in fact, far too much cost—and therefore (again, by definition) doesn’t create nearly enough value for market participants. Finance indeed wrests its living from those who wrest their livings from nature, from commerce, and from trade. It is essential that we demand that the financial sector function far more effectively in the public interest and in the interest of investors than it does today.